

arbitrarily managed as to introduce an additional uncertainty in the analysis of a common stock. Besides the difficulty of judging the earning power, there is the second difficulty of predicting what part of the earnings the directors will see fit to disburse in dividends.

It is important to note that this feature is peculiar to American corporate finance and has no close counterpart in the other important countries. The typical English, French, or German company pays out practically all the earnings of each year, except those carried to reserves.<sup>1</sup> Hence they do not build up large profit-and-loss surpluses, such as are common in the United States. Capital for expansion purposes is provided abroad not out of undistributed earnings but through the sale of additional stock. To some extent, perhaps, the reserve accounts shown in foreign balance sheets will serve the same purpose as an American surplus account, but these reserve accounts rarely attain a comparable magnitude.

**Plowing Back Due to Watered Stock.** The American theory of “plowing back” earnings appears to have grown out of the stock-watering practices of prewar days. Many of our large industrial companies made their initial appearance with no tangible assets behind their common shares and with inadequate protection for their preferred issues. Hence it was natural that the management should seek to make good these deficiencies out of subsequent earnings. This was particularly true because additional stock could not be sold at its par value, and it was difficult therefore to obtain new capital for expansion except through undistributed profits.<sup>2</sup>

*Examples:* Concrete examples of the relation between overcapitalization and dividend policies are afforded by the outstanding cases of Woolworth and United States Steel Corporation.

In the original sale of F. W. Woolworth Company shares to the public, made in 1911, the company issued preferred stock to represent all the tangible assets and common stock to represent the good-will. The balance sheet accordingly carried a good-will item of \$50,000,000 among the assets, offsetting a corresponding liability for 500,000 shares of common, par \$100.<sup>3</sup> As Woolworth prospered, a large surplus was built up out of

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<sup>1</sup> See Appendix Note 46 for discussion and examples.

<sup>2</sup> The no-par-value device is largely a post-1918 development.

<sup>3</sup> This was for many years a standard scheme for financing of industrial companies. It was followed by Sears Roebuck, Cluett Peabody, National Cloak and Suit, and others.